



NIC COURTY FOR THE TIMES

REGIONS such as Monterey, above, may become more suitable for wine as Napa and Sonoma face challenges.

Authors to get payout over AI training

Judge OKs \$1.5-billion settlement for use of pirated books to build Anthropic's chatbot.

By NILESH CHRISTOPHER

Anthropic will pay \$1.5 billion to authors whose pirated books it used to train its AI in the largest copyright settlement in U.S. history.

Federal Judge Araceli Martínez-Olguin in Oakland granted final approval of the settlement Monday.

The record payout was a modest win for copyright holders, setting a precedent as a wave of AI-related lawsuits works its way through courts.

Although the judge said Anthropic could use authors' works for training, he backed the payout as punishment for acquiring and storing pirated books.

More than 500,000 authors and publishers were part of the class-action lawsuit, and they will get paid an estimated \$3,000 per eligible work. Their lawyers were awarded \$101.6 million in fees.

In 2024, a group of authors sued Anthropic, arguing that the company pirated hundreds of thousands of copyrighted books and used them without permission.

U.S. District Judge William Alsup, who initially pronounced his judgment in June last year, offered a partial victory for the authors.

The court found the use of books to train AI was allowed under fair-use norms, but the manner in which Anthropic acquired them — downloading millions of books from pirated libraries without permission — was not.

The problem was not [See AI training, A11]

Climate change could redraw state's wine map

By Corinne Purtill

It was Labor Day 2017, and the remote thermometer at McIntyre Estate Vineyard in Monterey County's Santa Lucia Highlands was registering a noontime temperature Steve McIntyre couldn't quite believe: 104 degrees.

McIntyre jumped in his car, hoping the sensor was broken. Twenty miles later, he stepped out into the searing air at his vineyard and knew there was no mistake. It would hit 116 before the day was over, the hottest since he first planted the site in 1973.

"It felt like a gut punch," he said.

The U.S. is the largest wine-producing country outside Europe, and 80% of that output comes from California. For an industry in which even subtle shifts in temperature or humidity can transform a harvest's value, increasing extremes and

unpredictability pose an existential threat.

Extreme heat can kill a vine just as it can a human. As temperatures rise, so does the speed at which vines pull water from the soil. Once a plant starts losing water faster than it can rehydrate, it mounts a perilous last-ditch effort to save itself.

The stomates — the parts of the leaf that control gas and water exchange — close up in an attempt to reduce water loss. Photosynthesis slows to a crawl. That can kick off further complications that, without emergency intervention, can be fatal.

"It's just like a cascade of things that start happening," said McIntyre, who also runs the vineyard management company Monterey [See Wine, A6]



MYUNG J. CHUN LOS ANGELES TIMES

WORKERS PREPARE a Southern California Edison transmission tower for removal by helicopter in multiple parts from a hillside in Altadena in May 2025.

In the guise of fire survivors

Utilities lobby for proposals to shield them from liability

By MELODY PETERSEN

A group claiming to represent California fire survivors began sending mailers and paying for social media ads in the spring, calling on lawmakers to take action to reduce the rising cost of wildfires.

"Contact your legislator and tell them we need to fix our wildfire problem to make California more affordable," said a mailer sent this month by the group called Wildfire Victims First.

"Stand with wildfire vic-

tims," the group's website states, urging people to join its cause.

The group was created with money from California's three biggest for-profit electric utilities — Southern California Edison, Pacific Gas & Electric and San Diego Gas & Electric — which government investigators found ignited at least six of the state's 20 most destructive wildfires.

The corporate campaign has angered wildfire survivors, including some of the thousands of families in Altadena who lost their homes

in last year's Eaton fire. The blaze, which killed 19 people, remains under investigation. Edison has said its century-old transmission line is probably the cause.

The utility-funded group is lobbying in Sacramento for proposals in a study that Gov. Gavin Newsom ordered to guide lawmakers in writing wildfire-related bills. The study largely ignored utilities' responsibility for igniting fires.

Among its dozens of proposals is limiting amounts that victims can get for pain [See Wildfires, A6]

U.S. reaches deal with Saudis over nuclear program

White House pact prompts immediate concern about atomic arms race in Mideast.

By MICHAEL WILNER AND ANA CEBALLOS

WASHINGTON — The Trump administration has agreed to work with Saudi Arabia to develop a civilian nuclear program, a watershed moment after a years-long effort to curb the proliferation of nuclear technology in the Middle East.

The announcement comes as President Trump has vowed to continue executing a war against Iran over Tehran's nuclear ambitions. On Wednesday, the president warned he would target a bridge or power plant for every commercial vessel Iran fires upon in the Strait of Hormuz, after earlier this week threatening to strike a new facility Tehran is reportedly building to conceal its continued nuclear work.

The Saudi deal elicited surprise and immediate concern across Washington, where lawmakers are expected to have a vote on the matter, as well as in Israel, a nuclear power that has long

feared an atomic arms race could grip the region.

A Saudi nuclear program has long been tied to the standoff over Iran's nuclear work, which successive U.S. administrations have said extends beyond civilian purposes. After Iran struck a nuclear deal with world powers in 2015, Saudi Arabia vowed to match whatever nuclear capabilities Tehran was allowed to maintain.

In the decade since, U.S. officials have tried to keep Saudi Arabia from developing its own program, fearing it would fuel nuclear competition across the Middle East. But it became a consistent and central point of negotiation between the two allies.

Both the Trump and Biden administrations ultimately offered to support a limited, monitored program as part of a broader deal to normalize relations between Saudi Arabia and Israel, hoping that a diplomatic breakthrough would mitigate the risks of an arms race.

But the agreement secured this week left skeptics in Washington and the region unclear what the United States had secured in return.

Trump administration [See Pact, A5]

Feds cut off loans to low-pay degrees

Under new rule, arts, social work and some professional programs may not qualify.

By ANDREW KHOURI AND FRANCESCA PINNEY

College students pursuing majors, advanced degrees or certifications in fields that consistently earn low incomes will no longer be able to take out federal loans to pay for their schooling under new Trump administration rules.

Many of the degree programs that educate social workers, artists, teacher aides and especially certification programs for barbers and nail technicians are likely to fail a new federal litmus test: Will they make more money upon graduation than if they never enrolled in the first place?

The new federal rule, finalized this month by the Education Department, comes amid a national crisis in student loan defaults — and is part of a larger effort to ensure a college degree or professional certification serves as an avenue for economic advancement rather than a debt trap.

It has also provoked debate over whether the mission of higher education — and help paying for it — should be tied to a paycheck after graduation.

But unlike other aspects of the administration's education actions, the new policy has relatively broad support, with some student advocates saying it should be tougher.

The Education Department hasn't yet calculated the final data against which institutions will be judged, leaving uncertainty on exactly what programs will face consequences.

The vast majority of bachelor's and advanced degree programs at public and nonprofit colleges and universities are expected to be safe, with about 3% expected to fail, according to the department's estimates.

However, about 33% of programs at for-profit schools are expected to fail.

Overall, 4.2% of students who receive federal loans or grants are enrolled in programs expected to fail the new benchmark, according to the Education Department. An estimated 5.2% of programs overall may fail, but not all students take out federal loans.

[See Loans, A7]

ICE raids cost businesses millions

A UCLA study finds that revenue losses mounted in the wake of last summer's sweeps. CALIFORNIA, B1

Go, Dodgers, and stand up for L.A.

The city needs its champions to call out Trump during White House visit, Gustavo Arellano writes. CALIFORNIA, B1

AI system hacks rival company

OpenAI says its artificial intelligence went rogue and attacked in an "unprecedented cyber incident." BUSINESS, A9

Weather Clouds, then sun. L.A. Basin: 91/70. B6

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JAY L. CLENDENIN L.A. Times

PANDEMIC forced the landmark to shut down.

A sequel for the Cinerama Dome

The renowned Hollywood movie theater, closed since 2020, will reopen in 2028, Sony says. ENTERTAINMENT, E1

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Tariffs risk upending low-cost drug supply

By AMBER TONG AND LAURA CURTIS

Generic drug manufacturers must move production to the U.S. or face a 100% import duty starting August 2028, President Trump said, threatening the supply of low-cost medicines that millions of Americans rely on.

The move is aimed at "reshoring" generic pharmaceutical production in the U.S., and companies that don't build plants on-

shore will face levies that would then double, to 200%, in August 2029, Trump said in a social media post.

If imposed, the duty risks upending a global supply chain that keeps generic medicines affordable for Americans. These off-patent drugs run the gamut from everyday painkillers and antibiotics to cholesterol and cancer drugs, and they're mostly produced at factories in India, Europe and China.

It's also unclear how fore-

ing generics companies to make more medicines in the U.S. fits with Trump's other goal of lowering drug prices in the country, given the lower cost of labor and manufacturing in places like India. That, along with the White House's previous willingness to cut deals with drugmakers over patented medicines, suggests there could yet be wiggle room on the final levy.

Chief Executive Richard Saynor of Sandoz Group, one of the world's largest ge-

neric producers, warned last year that America's shift toward steep tariffs was likely to make drugs more expensive and limit access for patients.

Sandoz shares fell as much as 4.2% in Zurich on Wednesday, the most since April. The Swiss company, which, like rivals Teva Pharmaceutical Industries Ltd. and Viatris Inc., copies branded medications once they lose patent protection, said it is too early to assess [See Drugs, A11]